

NOTICES

Notice No.	20240906-40	Notice Date	06 Sep 2024
Category	Trading	Segment	Mutual Fund
Subject	Instructions for Demat Redemption Orders on BSE StAR MF platform		
Content			

This is in continuation to the Notice No. 20220324-52, 20220328-51 and 20230821-24 dated March 24, 2022, March 28, 2022 and August 21, 2023 respectively with regards to ‘Discontinuation of usage of pool accounts for transactions in units of mutual funds on BSE StAR MF Platform’.

As mentioned in the aforesaid notices, after placement of demat redemption order, the client is required to issue the Delivery Instruction Slip (DIS) to transfer the units to the Clearing Corporation’s pool account. The DIS may be issued directly by the client or through the Power of Attorney holder to the depository participant.

It has been observed that in many of the instances, members have placed the demat redemption orders but the DIS has not been initiated by their clients directly or through the Power of Attorney holder to the depository participant, due to which there is shortfall of units against orders received. This in turn delays the redemption orders to be processed at Exchange and eventually at RTA/AMC. Also, there have been cases where the units are NOT received at all. Such non settlement leads to systemic issues as AMCs/MFs rely on these valid orders and accordingly plan their cash flows, in some cases by selling securities in the fund. In the case of INDEX FUNDS, it may also lead to implications on tracking error on which there are regulatory stipulations.

Members are hereby requested to note that DIS has to be initiated within the stipulated time for all the redemption orders placed in Demat mode on BSE StAR MF platform for their clients and units of MFs delivered timely without exception. The non-conformance to this will be viewed very seriously and may call for action including but not limited to suspension/termination of membership of StAR MF.

Also please note, in case for any reason client is unable to initiate DIS or does not wish to go ahead with the demat redemption order, then member can cancel the said redemption order prior to the settlement process. For cancellation of demat redemption orders, member can refer the notice No. 20210426-37 dated April 26, 2021.

For the Demat redemption orders which are valid and not cancelled within the cut off time, members have to make sure that the DIS is initiated within the stipulated time and units are made available to the Clearing Corporation for settlement.

Members are requested to adhere to the process and timelines prescribed by Exchange for Mutual Fund order in Demat mode on BSE StAR MF platform.

All members using third party vendor solutions and/or in-house developed trading application are hereby requested to take note of the above and arrange to initiate necessary development at their end.

For any query on the BSE StAR MF platform, you can reach us through our service centre on 022-45720450 & 022-45720650 on business days between 8.00 a.m. to 7.00 p.m. You can also raise your queries on our CRS portal:- <https://bsecrs.bseindia.com>.

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